MODULE 3 · KNOW YOUR SCHEMES

Insurance & Health Cover

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Insurance sounds like a boring adult topic, right up until a hospital bill or an accident makes it the only thing that matters. India runs two of the largest government insurance schemes in the world, and both are worth knowing now, even before you need them yourself.

1. PM Suraksha Bima Yojana (PMSBY)

A government accident insurance scheme so cheap it's almost easy to forget you have it, which is exactly the problem it solves.

- Covers accidental death or disability: Rs. 2 lakh for death or total disability, Rs. 1 lakh for partial disability.
- The premium is Rs. 20 a year. Not a typo, twenty rupees, auto-debited once a year from a linked bank account.
- Open to anyone aged 18 to 70 with a savings bank account. It renews automatically each year as long as there's enough balance for the auto-debit.
- This one's for when you turn 18 and open your own bank account, ask your bank to enrol you, most banks offer it directly through net banking or a simple form.

Jan Suraksha (PMSBY) · *official portal for PM Suraksha Bima Yojana and related schemes*

Tool Spotlight: Ayushman Bharat (PM-JAY)

PM-JAY is the world's largest government-funded health insurance scheme, giving eligible families Rs. 5 lakh of free hospital coverage every year, per family, with zero premium.

- It's completely free. There's no premium to pay, no waiting period, and pre-existing conditions are covered from day one.
- Eligibility is mainly based on the 2011 socio-economic census (SECC) data, so many lower-income families already qualify without having applied for anything.
- Since 2024, every Indian citizen aged 70 or above qualifies automatically, regardless of family income, with their own separate cover.
- Covers hospitalisation, surgery, medicines, diagnostics, and follow-up care, cashless and paperless, at any of India's 29,000+ empanelled hospitals, government or private.
- Check your family's eligibility on the official portal or app using Aadhaar, or ask at the Ayushman Mitra desk at any empanelled hospital. Helpline: 14555.

Ayushman Bharat PM-JAY · *check your family's eligibility and download your Ayushman card*

2. Why This Matters Now, Not Just Later

- If your family hasn't checked whether you're covered under Ayushman Bharat, it takes five minutes on the portal to find out, and it could mean a free Rs. 5 lakh safety net you didn't know you had.
- When you turn 18 and get your own bank account, PMSBY is one of the cheapest, easiest things you'll ever sign up for, twenty rupees for two lakh rupees of protection.
- Neither of these requires an agent, a broker, or any middleman. Both are free or near-free government schemes, applied for directly.

3. Quick Comparison

- PMSBY: accident insurance, Rs. 20/year, for anyone 18-70 with a bank account, covers death or disability from an accident.
- Ayushman Bharat (PM-JAY): health insurance, free, mainly for lower-income families (or anyone 70+), covers hospitalisation and treatment costs.
- They cover different things and can both apply to the same family at once, one isn't a replacement for the other.

A Few Myths, Busted

Myth	Fact
Government insurance schemes are too complicated to bother with.	PMSBY is a one-time form through your bank. Ayushman Bharat eligibility takes five minutes to check online, no agent needed.
Ayushman Bharat is only for people who've formally applied.	Many families already qualify based on 2011 census data and don't know it. Checking costs nothing and takes minutes.
Rs. 20 a year can't possibly cover a real accident.	PMSBY pays out Rs. 2 lakh for accidental death or total disability, a real, meaningful amount for that premium.

Useful Links

Ayushman Bharat PM-JAY · *check eligibility and download your family's health card*

Jan Suraksha (PMSBY) · *official portal for accident insurance and related schemes*